

30693

FINANCIAL ACCOUNTING – MODULE 2

Sustainability Reporting

Academic Year 2025/2026

Prof. Xiaoxi Wu



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Learning objectives

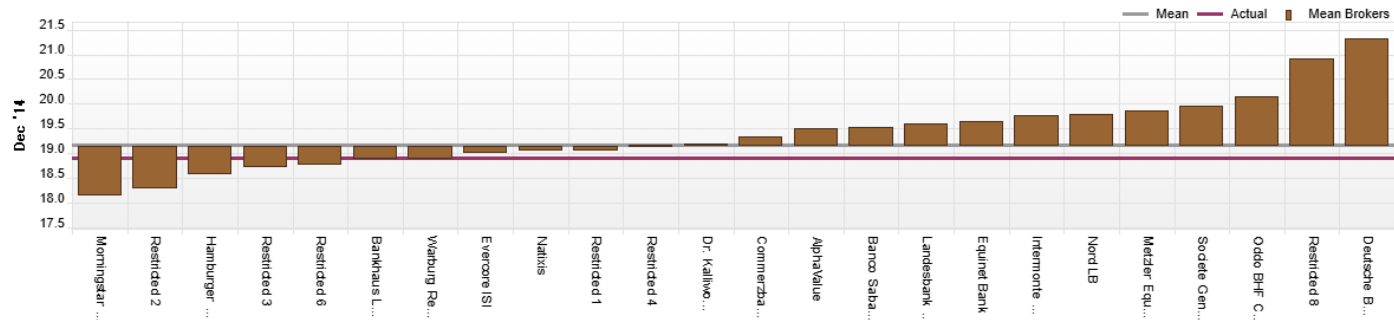
1. What is the scope of corporate communication? Why is non-financial information relevant for FSA?
2. Corporate social responsibilities (CSR) & stakeholders
3. Corporate sustainability & Environmental, Social, and Governance (ESG)
4. ESG/sustainability reporting – Should it be regulated?
5. Corporate Sustainability Reporting Directive (CSRD) in the EU
6. Conclusion

1. What is the scope of corporate communication? Why is it relevant for FSA?





Volkswagen AG (VOW-DE) €89.90 Next Rpt Date: 30 Apr '26 Key Statistics Pending Mgt. Change FactSet Estimates



The EPS majority basis is EPS | Euro

Broker	Analyst	Research Date	Dec '14 Est*	Modification Date	Prev Est	Grth (YoY%)	EPS LTG* (%)	Tgt Price*	Rating*
Mean (32 ests)		26 Feb '15	19.09						
Broker Actual		27 Feb '15	18.84						
Restricted 3	Restricted	26 Feb '15	18.64 ↓	26 Feb '15	18.89	8.5	13.0 ↑	202.20 ↑	Buy ⇒
Societe Generale	Stephen Reitman	26 Feb '15	19.88 ⇒	30 Oct '14	19.88	23.9	15.2	223.71 ↑	Buy ⇒
Deutsche Bank Research	Jochen Gehrke	26 Feb '15	21.25 ↓	29 Jan '15	22.24	14.7	-	197.89 ↑	Buy ⇒
Restricted 2	Restricted	26 Feb '15	18.21 ⇒	14 Oct '14	18.21	8.6	-	197.89 ↑	Buy ⇒
Commerzbank Research	Daniel Schwarz	26 Feb '15	19.26 ⇒	21 Oct '14	19.26	-	13.8 ↑	202.20 ⇒	Buy ⇒
Restricted 1	Restricted	26 Feb '15	18.97 ↑	12 Jan '15	18.71	13.5	10.8 ↑	184.13 ↑	Hold ⇒
Hamburger Sparkasse	Tina Hecking	26 Feb '15	18.50 ⇒	03 Nov '14	18.50	15.0	-	-	Buy ⇒
Landesbank Baden-Wuerttemberg	Frank Biller	26 Feb '15	19.51 ↓	04 Feb '15	19.91	21.3	-	215.10 ↑	Buy ⇒
Bankhaus Lampe	Christian Ludwig	25 Feb '15	18.80 ↑	25 Feb '15	17.78	17.2	-	197.89 ⇒	Buy ⇒
Evercore ISI	Arndt Ellinghorst	25 Feb '15	18.92 ⇒	18 Nov '14	18.92	-	-	228.01 ↑	Hold ⇒
Banco Sabadell	Oscar Rodriguez	24 Feb '15	19.45 ↑	24 Feb '15	18.42	-	-	215.10 ↑	Buy ⇒
Restricted 4	Restricted	23 Feb '15	19.08 ⇒	30 Oct '14	19.08	13.1	-	196.17 ↑	Buy ⇒
Oddo BHF Corporates & Markets	Francois Maury	20 Feb '15	20.08 ⇒	30 Oct '14	20.08	19.4	-	154.87 ↑	Underweight ⇒
AlphaValue	Hans Peter Wodniok	19 Feb '15	19.44 ⇒	31 Oct '14	19.44	12.0	-	167.78 ↑	Sell ↓
Dr. Kalliwoda Equity Research	Norbert Kalliwoda	17 Feb '15	19.11	28 Jul '14	-	-	-	202.20	Buy
Metzler Equity Research	Jurgen Pieper	13 Feb '15	19.79 ⇒	07 Nov '14	19.79	23.5	-	197.89 ⇒	Buy ⇒
Equinet Bank	Holger Schmidt	13 Feb '15	19.56 ⇒	30 Oct '14	19.56	21.9	-	202.20 ⇒	Buy ⇒
Nord LB	Franck Schwoppe	11 Feb '15	19.72 ⇒	30 Oct '14	19.72	22.6	-	202.20 ↑	Buy ⇒





Volkswagen: The scandal explained

10 December 2015



Russell Hotten
Business reporter, BBC News

What is Volkswagen accused of?

It's been dubbed the "diesel dupe". In September, the Environmental Protection Agency (EPA) found that many VW cars being sold in America had a "defeat device" - or software - in diesel engines that could detect when they were being tested, changing the performance accordingly to improve results. The German car giant has since admitted cheating emissions tests in the US.

- Volkswagen installed “**defeat device**” **software** in certain diesel vehicles to detect when the car was undergoing laboratory emissions testing and temporarily reduce emissions during the test.
- In real-world driving, those vehicles could emit **far higher levels of nitrogen oxides** than permitted



The Scope of Corporate Communication

- So far, you have learned about the amazing tools of FSA and multiples. You are becoming experts in analyzing accounting numbers and valuing a company!
- Is accounting only about numbers?
 - Accounting is the language of business and a primary form of corporate communication.
- In reality, **companies also provide a wide range of communication to facilitate accounting numbers, including non-financial information on sustainability-related topics**. For example:
 - Carbon emissions and other environmental impacts,
 - Supply chain partners and relationships,
 - Contributions to the society and donations to NGOs,
 - Etc.

Are those non-financial disclosures also relevant for corporate valuations?



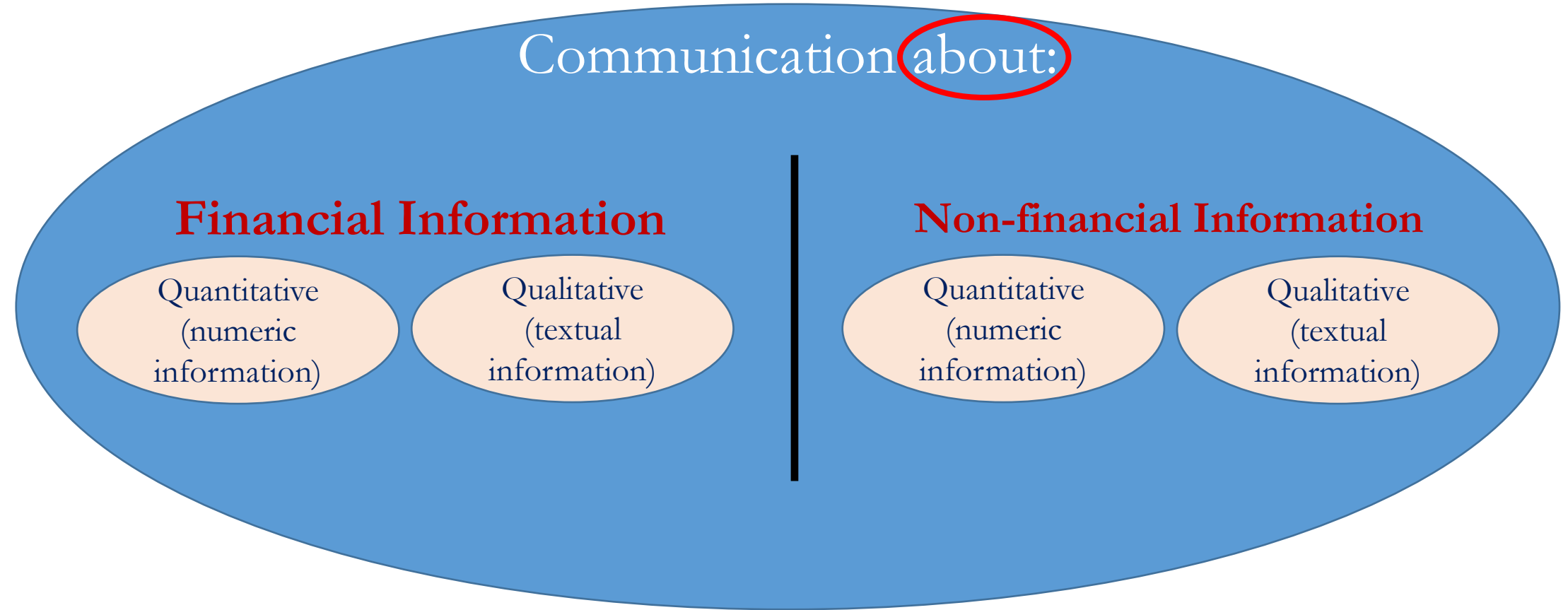
The Scope of Corporate Communication



We have been focusing on how companies report financial information. How investors and managers can analyze financial information with FSA to make (good) investment decisions.

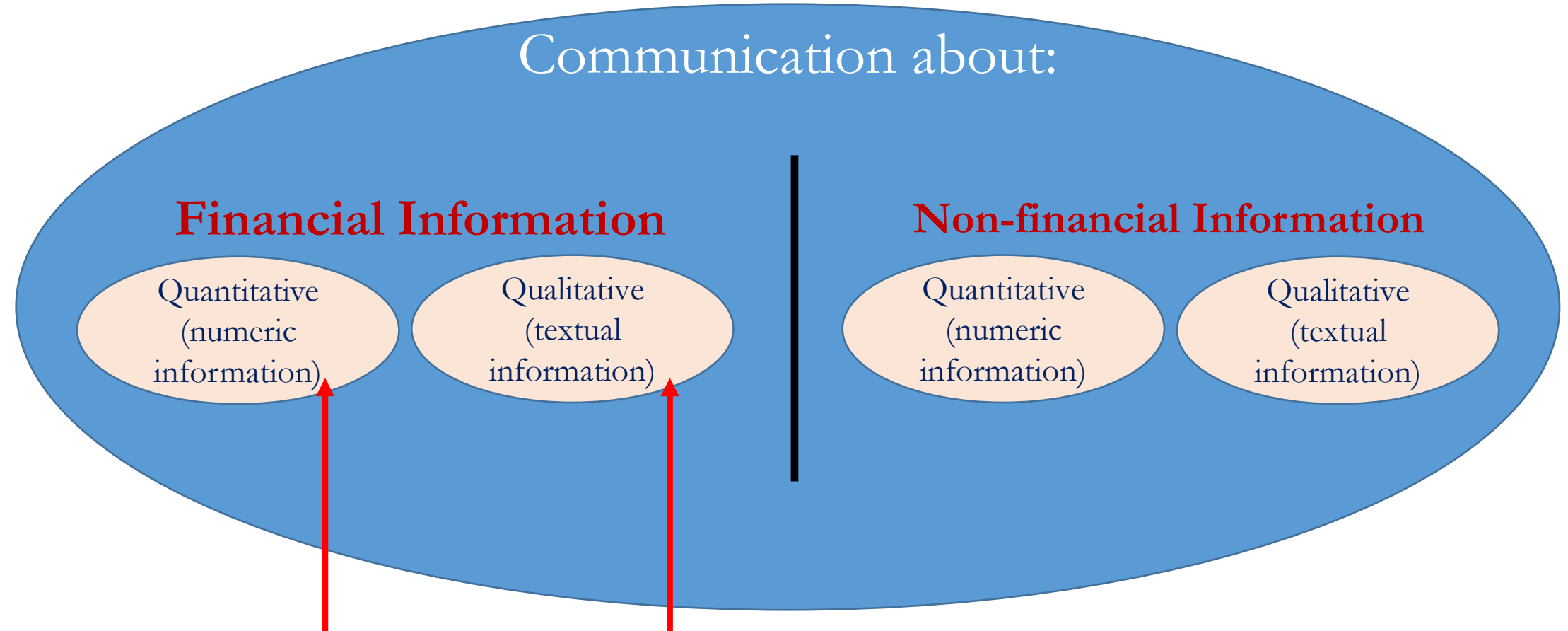
What about other types of information that companies communicate?

The Scope of Corporate Communication



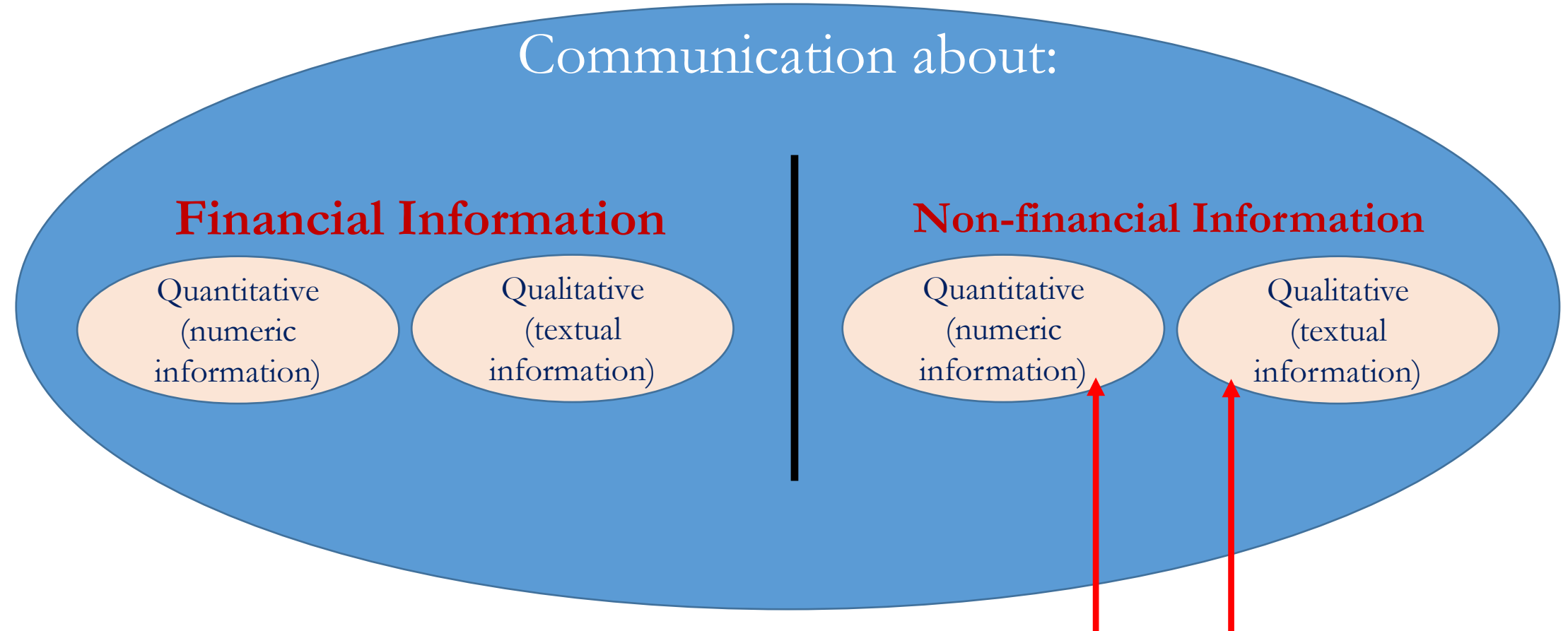
In reality, many companies provide a wide-range of financial & non-financial information. Such information can be either quantitative (in numbers) or qualitative (in narratives).

The Scope of Corporate Communication



In FSA, you learned how to utilize both quantitative and qualitative financial information to assess and forecast a company's performance and value.

The Scope of Corporate Communication



What about non-financial information from companies? Why does it exist? Who are the information users? Is it important?

Non-financial Information and Corporate Valuation

- The ultimate question: Can the company generate sustainable growth and profitability over the long-term?
 - ➔ Long-term value creation.
- **Many companies use non-financial communication and sustainability reporting to provide a comprehensive view on their long-term strategic planning, corporate vision, and sustainability.**
 - This disclosure practice has become more and more popular in recent years due to demand for non-financial information and company sustainability performance.
- Let's explore together!

2. Corporate social responsibilities (CSR) & Stakeholders



Purpose and responsibility of corporations

- What is the purpose of a company?
- Traditional/conventional (old) theory:
 - The primary goal for a company is to **earn profit and to increase the wealth of its owners** (i.e. shareholders) by paying dividends and/or increasing the stock price.
 - ➔ Shareholder value maximization.
 - ➔ The company and its managers are only responsible for shareholders.



Purpose and responsibility of corporations (cont.)

The Social Responsibility of Business is to Increase its Profits

Milton Friedman

The New York Times Magazine

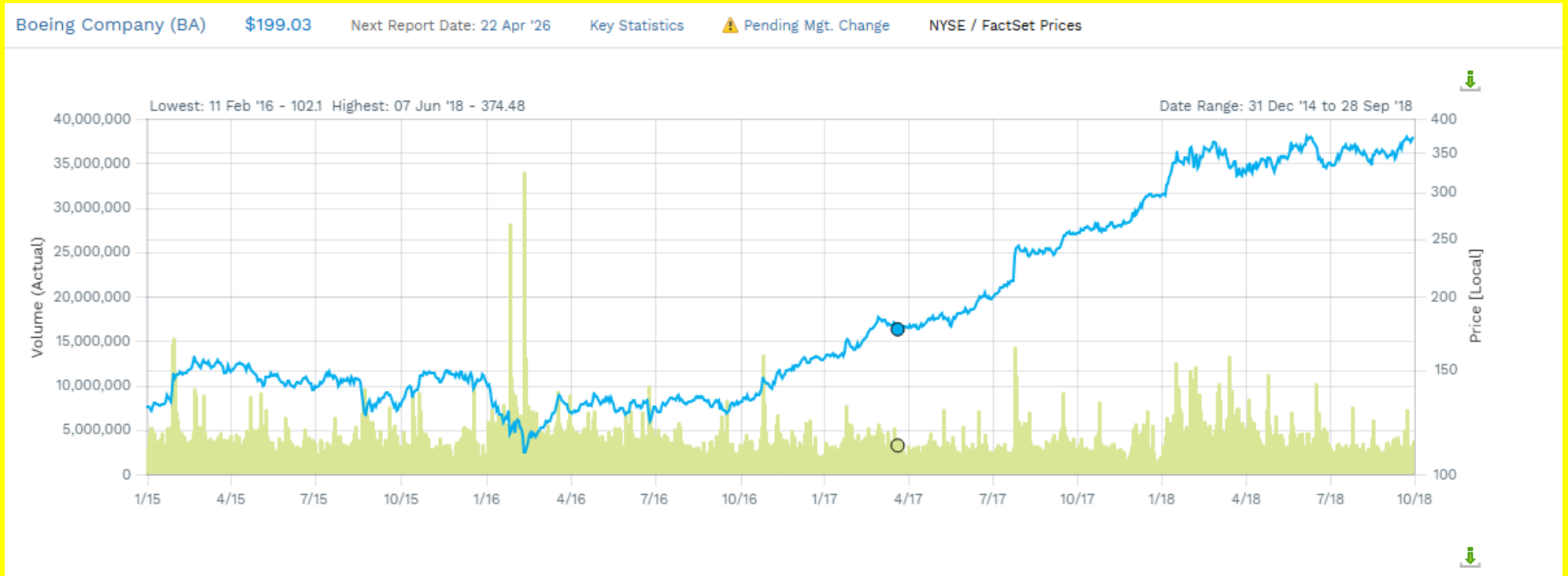
September 13, 1970

American economist who
received the 1976 Nobel
Prize in Economic
Sciences

- “There is one and only one social responsibility of business -- to use its resources and engage in activities designed to increase its profits so long as it stays within the rules of the game, which is to say, engages in open and free competition without deception or fraud.”
- Do you agree?

Article [link](#)





Boeing 737 MAX: What Happened



29 Oct 2018 — Lion Air Flight 610

Jakarta, Indonesia

189 deaths

MCAS pushed nose down 26 times in 10 minutes. Pilots were unaware the system existed: it was removed from the flight manual.

10 Mar 2019 — Ethiopian Airlines Flight 302

Addis Ababa, Ethiopia

157 deaths

Identical failure mode. Boeing had not fixed MCAS in the 4 months since Lion Air, despite fully understanding the cause.

Lion Air JT610 crash: What the preliminary report tells us

28 November 2018

Share Save Add as preferred on Google



The wreckage was found 370m from the plane's last known position.

Indonesian investigators have released a preliminary report on the Lion Air flight JT610 that crashed on 29 October, killing 189 people.

Ethiopian Airlines: 'Clear similarities' with Indonesia crash

17 March 2019

Share Save Add as preferred on Google



Flight data from the Ethiopian Airlines disaster a week ago suggest "clear similarities" with a crash off Indonesia last October, Ethiopia's transport minister has said.



Università Commerciale
Luigi Bocconi

Boeing 737 MAX: What Happened



- Boeing CEO Dennis Muilenburg, November 2018, one month after the first crash and four months before the second: *“The 737 MAX is as safe as any airplane that has ever flown the skies.”*
- Root cause: Software designed to prevent stall by pushing the nose down: relying on a single sensor with no redundancy.
- Boeing removed all references to MCAS from pilot manuals to avoid requiring simulator training
- The **CSR lesson**: After the 1997 merger with McDonnell Douglas, Boeing’s culture shifted from **engineering excellence to financial performance**. Decisions made “in the name of shareholder value” over two decades cost its investors
- Does ignoring stakeholders create value?

Corporate social responsibility (CSR)

- This view that companies are only responsible for making profits and for increasing shareholders' wealth has been widely challenged.



- CSR:
 - **Business practices that incorporate sustainability into a company's business model to generate positive impacts on society, environment, and other various stakeholders of the business** (Schooley, 2019).
 - Integration of social and environmental concerns in their business operations and interactions with their stakeholders (Commission of the European Communities, 2001).

Stakeholder

- Stakeholder:
 - A member of “groups without whose support the organization would cease to exist” (Bowie, 1988, 112).



Stakeholder: Examples

- Customers: They buy products. Companies need to ensure the quality and safety of products.
- Employees: They engage in company operations. Companies need to protect employees' rights.
- Society and community: Companies exist in the society and local communities.
- The environment: Company operations can have impacts on the environment.

..... And other stakeholders depending on the nature of the company.

Stakeholder theory

- Stakeholder theory:
 - Proposed by Edward Freeman in the 1980s.
 - A view of capitalism that stresses the interconnected relationships between a business and its customers, suppliers, employees, investors, communities and others who have a stake in the organization.
 - **A firm should create value for all stakeholders, not just shareholders.**
 - Shareholders are merely one of many stakeholders of a company.

"The last 40 years have seen great changes in our understanding of business. In our lifetime, we have seen a remarkable pace of globalization. We have seen revolutionary information technology. We have seen nothing less than a fundamental shift in the story of business."

-Ed Freeman



Stakeholder theory



3. Corporate sustainability & Environmental, Social, and Governance (ESG)



What is corporate sustainability?

- **Corporate sustainability:**
 - **The integration of environmental, social, and governance (ESG) considerations into a company's strategy, operations, and decision-making processes.**
 - **Aims to create long-term value for stakeholders and minimize harm to the environment and society.**
 - It involves a wide range of initiatives and actions that balance financial performance, social responsibilities, and environmental impact to ensure a company's viability and value creation over the long term.



What is ESG?

- Environmental, Social, and Governance (ESG):
 - Three central factors that investors and companies use to evaluate long-term sustainability and performance.



What is ESG? (cont.)

- Environmental: impact on the environment and management of environmental risks and opportunities.
- Social: impact on society, including relationships with employees, customers, and local communities.
- Governance: A company's management structure, business practices, and ethical behavior.



ENVIRONMENTAL

- climate change
- resource depletion
- waste
- pollution
- deforestation



SOCIAL

- human rights
- modern slavery
- child labour
- working conditions
- employee relations



GOVERNANCE

- bribery and corruption
- executive pay
- board diversity and structure
- political lobbying and donations
- tax strategy

ESG Snapshot

Emissions & Targets

15.3386

Total GHG Emissions / EVIC

No

Lacks Paris-Aligned Reduction Initiative

Board Diversity

40%

Percent of female board members

Proxy Proposals

Apr 21, 2026

Next Shareholder Meeting

Suppliers

0/18

Exposure to ESG Laggards ⓘ

ESG Scores & Ratings

Internal

No score published

Truvalue

47th Average

Adj Insight Industry Pctl

Sustainalytics

Contact your FactSet account team for basic Sustainalytics access, available at no cost.

ISS

B- Good

Corporate Rating

Entelligent

N/A

Transition Return Premium

FactSet ESG Thematic Involvement ⓘ



Further Analysis ⋮

ESG Theme	% of Revenue	Thematic Revenue (EUR)	# of Products
> Animal Goods and Services	Not Reported	Not Reported	2

SASB Analysis →

■ SASB Category based on Primary Industry ◆ Top Category by Article Volume



Download AI Detected Results

SASB Category	SASB ⓘ	AI-Detected Results	Dynamic Materiality ⓘ	Insight Industry Pctl ⓘ	Pulse Industry Pctl ⓘ
Supply Chain Management ⓘ	■	◆	◆ 23.31%	57th	38th
Product Design & Lifecycle Management ⓘ		◆	◆ 17.79%	40th	28th
Materials Sourcing & Efficiency ⓘ	■	◆	◆ 17.48%	22nd	17th
Business Model Resilience ⓘ			◆ 9.51%	90th	55th
Management of the Legal & Regulatory Environment ⓘ			◆ 6.13%	84th	94th



Metric	FY25
Emissions	
Emissions (tCO2e)	
Total Emissions	245,992.00
Scope 1 emissions	2,742.00
Scope 2 emissions	18,616.00
Scope 3 emissions	224,634.00
Subtotal (Scope 1&2) emissions	21,358.00
Environment	
Company does not have carbon emission reduction initiatives aimed at aligning with the Paris Agreement	No
Percentage of non-renewable energy sources compared to renewable energy sources	17.92
Is the company active in the fossil fuel sector	No
Does company have sites/land owned, leased, and/or operated in or near biodiversity-sensitive areas	No



Social	
Lack of anti-bribery & anti-corruption policy	No
Company does not have workplace accident prevention policies	No
Lack of a human rights policy	No
Company involved in violations of UNGC/OECD Guidelines for Multinational Enterprises during the reporting period	Yes
Management & Board (Latest Data Available)	
Percent of board that is female	40%
Percent of management team that is female	29%
Percent of independent directors	73%
Dual board and chair	Yes

Emissions, Environment, and Social data items are sourced from FactSet SFDR Principal Adverse Impacts, unless otherwise noted.
 Management & Board statistics are supplied by FactSet People and reflect the latest information available.



ESG Ratings: How They Work

Four major providers — four different methodologies, four different answers

	MSCI ESG	Sustainalytics	ISS ESG	Truvalue Labs
What it measures	ESG risk vs. industry peers (relative)	Unmanaged ESG risk (absolute)	ESG performance & governance quality	ESG sentiment from news & media (dynamic)
Data source	Company disclosures + proprietary research	Company disclosures + analyst research	Disclosures + proxy voting data	NLP on 75,000+ news sources (real-time)
Rating scale	AAA → CCC (7 notches)	0–100 (lower = less risk)	A+ → D (letter grades)	Percentile rank (0–100)
Primary focus	Financial risk to investors (outside-in)	Absolute ESG risk (sector-adjusted)	Governance quality + engagement	Reputational ESG signal (media-driven)

Rating divergence: Moncler scores “Good” with ISS and “Average” (47th pct) with Truvalue — same company, different conclusions. Berg, Kölbel & Rigobon (Review of Finance, 2022) find ESG rating correlations of only **0.38–0.71 across major providers**, vs. 0.99 for credit ratings (Moody’s vs. S&P).

ESG Ratings: Strengths & Weaknesses as a Tool

✓ Strengths

Standardisation & comparability

- Allow investors to screen and compare companies across sectors and geographies on non-financial criteria
- Enable integration of ESG factors into portfolio construction, risk models, and index products

✗ Weaknesses / Limitations

Rating divergence

- Different providers reach opposite conclusions on the same company
- Driven by scope (what to measure), weight (how much), and data (how to collect) differences

Greenwashing & disclosure bias

- Ratings partly reward disclosure quality, not actual ESG performance — companies learn to “play the game”

Backward-looking & static

- Based on disclosed past data — do not capture future ESG trajectory or strategic commitment
- VW had high ESG ratings in 2014, one year before Dieselgate

4. ESG/sustainability reporting – Should it be regulated?



Corporate voluntary ESG disclosure

- Today, most public companies and some small- and medium-sized companies publish ESG disclosures.
 - ESG disclosures can take place in various corporate communication channels, such as annual reports, corporate websites, stand-alone ESG reports, and so on.
- **In different markets, in absence of universal formal mandatory rules, ESG disclosures significantly vary** in:
 - Form (presentation, communication channel, reporting frequency, etc.), and
 - Content (scope, topic, text vs. number vs. graphs, quality, etc.).
- Concerns cumulate about the consistency, comparability, truthfulness, and reliability of ESG disclosures.

ESG disclosure debate: Should it be mandated/regulated?

- Should ESG disclosures be mandated/regulated?
- The development, implementation, and enforcement of ESG reporting regulations are a lengthy process, and can be difficult given the various pros and cons.



ESG disclosure debate: Should it be mandated/regulated? – Pros (1/4)

- Better ESG disclosures could improve company **reputations** and customer **satisfaction**:
 - As companies improve their ESG disclosures, if they are informative, they could provide **greater transparency about their sustainability and ethical business practices**. → This enhanced communication could:
 - Foster a stronger corporate reputation, and
 - Positively impact how customers perceive the company.
 - As consumers become more aware of what socially responsible steps a company is taking, especially steps that align with their own values → **Develop more trust in the company's brands and products, and become more devoted customers.**

ESG disclosure debate: Should it be mandated/regulated? – Pros (1/4)



- According to **Sustainable Business Reports**, 65% of Patagonia's customers cite the company's transparency as a major factor in their purchasing decisions, and 40% say they feel more loyal to the brand because of its environmental initiatives.

ESG disclosure debate: Should it be mandated/regulated? – Pros (1/4)

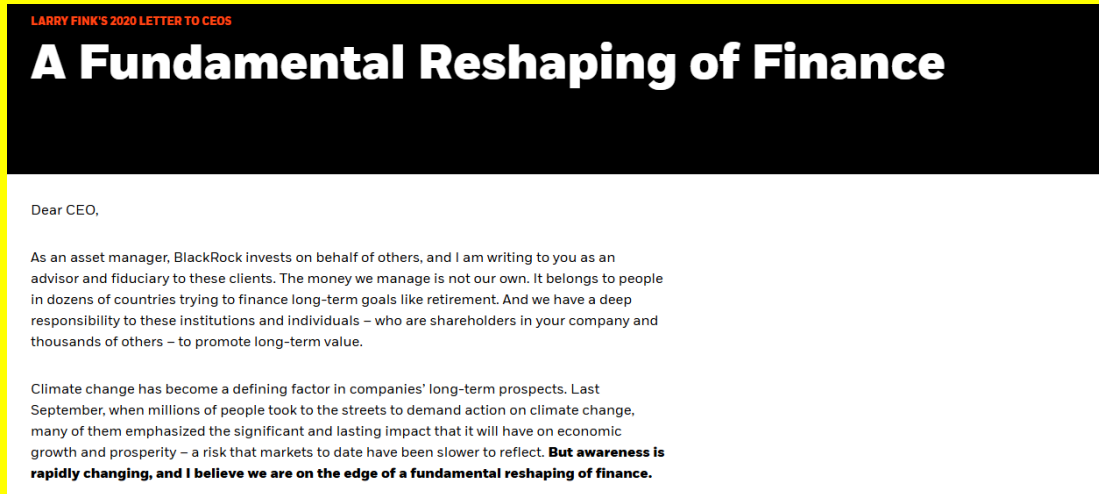


- **Luo & Bhattacharya (2006):** The paper shows using large-sample data that CSR positively affects customer satisfaction, and that this satisfaction in turn positively influences firm market

ESG disclosure debate: Should it be mandated/regulated? – Pros (2/4)

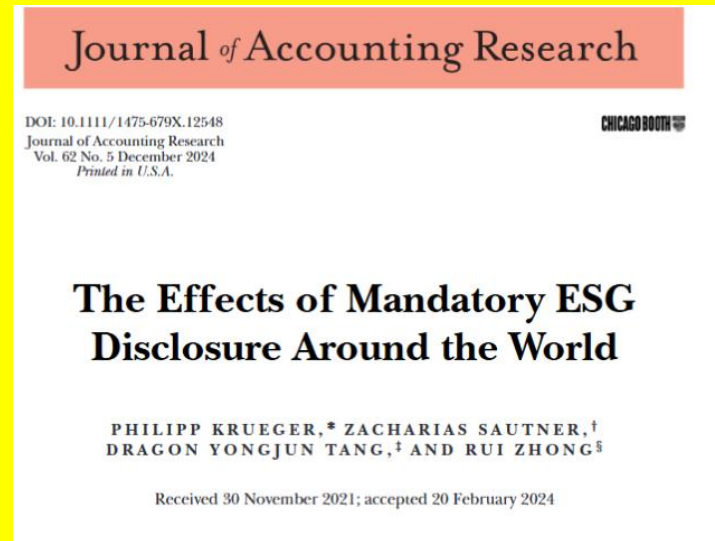
- ESG disclosures could provide **useful and additional information** for investors:
 - Investments in ESG, like other investments, are associated with future cash flows and risks.
 - Standardized ESG disclosures could help the market gain a clearer picture of a company's risks and value → making it possible to compare one company's CSR activities with another's, and helping investors monitor such activities (or lack thereof).
 - Such disclosures, if they are informative, could increase the liquidity of secondary securities markets, just as the usual financial information does → **Less uncertainty about firm value can also lower the cost of capital.**

ESG disclosure debate: Should it be mandated/regulated? – Pros (2/4)



- **BlackRock's 2020 letter to CEOs** In his 2020 letter to CEOs, BlackRock's Larry Fink (managing over \$7 trillion in assets) formally demanded that portfolio companies publish CSR disclosures, warning that "in the absence of robust disclosures, investors, including BlackRock, will increasingly conclude that companies are not adequately managing risk."

ESG disclosure debate: Should it be mandated/regulated? – Pros (2/4)



- **Krueger, Sautner, Tang & Zhong (2024):** Using a global dataset on mandatory ESG disclosure regulations, the paper documents a positive effect of ESG disclosure mandates on firm-level stock liquidity, consistent with the view that ESG disclosure regulation improves the information environment

ESG disclosure debate: Should it be mandated/regulated? - Pros (3/4)

- ESG disclosures facilitate investors' **monitoring** on managers:
 - A manager can have (personal opportunistic) goals other than maximizing shareholder value.
 - For example, a CEO uses corporate dollars to support a favorite charity even though there is no real benefit to the company for doing so.
 - Managers are unlikely to be forthcoming about such pet projects and any negative impacts unless required, and standardized CSR reporting could bring the activity into the open.
 - Investors who are more informed would have more power to hold managers and companies accountable. → **Standardized ESG disclosure helps investors to better monitor managerial behavior, and motivate managers to have more incentive to keep shareholder priorities top of mind.**

ESG disclosure debate: Should it be mandated/regulated? - Pros (3/4)



- In June 2021, Engine No. 1, an impact hedge fund holding only 0.02% of Exxon's shares, replaced a quarter of the energy giant's board of directors. It was the first boardroom battle in history to turn explicitly on ESG issues, specifically management's failure to adequately plan for the energy transition

ESG disclosure debate: Should it be mandated/regulated? - Pros (3/4)



- **Dyck, Lins, Roth & Wagner (2019):** The paper shows that institutional investors with explicit social and environmental mandates actively monitor and improve the ESG performance of investee firms.

ESG disclosure debate: Should it be mandated/regulated? - Pros (4/4)

- ESG reporting could help shareholders and other stakeholders drive a company to act in **more responsible and sustainable** ways:
 - Such disclosures could make a company more inclined to behave in an environmentally and socially responsible way. For example:
 - Stop polluting, or to put its investments and purchasing power toward backing companies that use renewable energy or purchase ethically sourced materials.
 - Seeing positive payoffs from such investments, companies would be more motivated to impress stakeholders by proving they are more socially responsible and sustainable than their competitors.

ESG disclosure debate: Should it be mandated/regulated? - Pros (4/4)



- **UK Mandatory Greenhouse Gas Reporting (2013)** In 2013, the UK became the first country to require all listed companies to report their greenhouse gas (GHG) emissions in annual reports. A natural experiment emerged: as documented in subsequent research, firms decrease carbon emissions more strongly when mandatory disclosure rules require them to disclose the carbon footprint of their operations

ESG disclosure debate: Should it be mandated/regulated? - Pros (4/4)



- **Fiechter, Hitz & Lehmann (2022):** Using the EU's 2014 Non-Financial Reporting Directive as a quasi-natural experiment, the paper shows that mandatory CSR disclosure led to genuine improvements in firms' underlying CSR activities: not just in what they reported, but in what they actually did.

ESG disclosure debate: Should it be mandated/regulated? – Cons (1/4)

- Even within a single industry, business activities and company cultures vary (sometimes very significantly). How **broadly** or specifically should regulations be written?
 - **Broad rules make accurate reporting impossible:**
 - Because managers would struggle to fully provide what's required.
 - Consequently, managers may not know exactly what data to include or how detailed it should be. Then, ESG disclosures end up incomplete, inconsistent, or difficult to verify.
 - **Broad rules also leave more room for managers to hide bad news.**
 - A key reason to require CSR disclosures would be to allow the public to see how companies and their activities compare with each other, even if this means some companies will have to release unfavorable information.
 - But if managers think disclosing something is risky or not in a company's best interest, they will have more freedom to avoid disclosing it.



ESG disclosure debate: Should it be mandated/regulated? - Cons (2/4)

- Even within a single industry, business activities and company cultures vary (sometimes very significantly). How broadly or **specifically** should regulations be written?
 - One could respond to the obstacles of broad rules by making disclosure rules very specific — but this has its own challenges.
 - It is **difficult for any standard setter to predict and articulate the specific ESG information** that will be relevant in the future.
 - Specific rules can backfire by providing companies with an **excuse to only disclose what is required by the letter of the law**, even if other less favorable disclosures would be more relevant to their stakeholders.

ESG disclosure debate: Should it be mandated/regulated? - Cons (3/4)

- Moving on, let's assume regulations are implemented effectively, with the ideal balance of specificity and broad flexibility.
 - It can be **costly for companies to compile relevant data**, process information, create reports, and hire auditors to verify.
 - This could be especially **costly** for small-sized companies.
 - Smaller companies may lack the personnel, technology, or financial resources to comply efficiently.
 - The cost of third-party audits, new software, and expert consultants can be disproportionately high for them.
 - **Regulatory complexity may force them to divert funds from growth-oriented activities to compliance-related expenses.**



ESG disclosure debate: Should it be mandated/regulated? - Cons (4/4)

- At companies of all sizes, **there are risks involved in sharing information:**
 - Consumer and activist groups could gain power and voice in influencing ESG standards (e.g. via public pressure and advocacy campaigns, or boycotts and market influence), but their priorities may not always match what investors care about.
 - While these groups prioritize ESG concerns, investors typically focus on financial performance, risk management, and long-term growth. If regulations influenced by activists significantly increase costs and create operational burdens, companies might not have enough cash to stay liquid or engage in normal business operations.
 - **Mandatory ESG reporting regime might expose companies to reputation risk and increase potential bad publicity**, even when it is outside the control of management.
 - Example: Companies are made to report the types of energy they use. A hurricane damages a company's renewable infrastructure, forcing it to use coal-powered energy. The firm's competitors in other cities or countries are not affected by the hurricane.



ESG disclosure debate: Should it be mandated/regulated? - Cons (4/4)

€4.8 Billion Of ESG Disclosure Spend Anticipated In 2022 And 2023 Due To The EU's Corporate Sustainability Reporting Directive

Blog

Corporate Sustainability Leaders

ESG & Sustainability Reporting Software

19 Aug, 2021

Sustainable Supply Chains

Corporate Sustainability & Climate Change Services



David Metcalfe

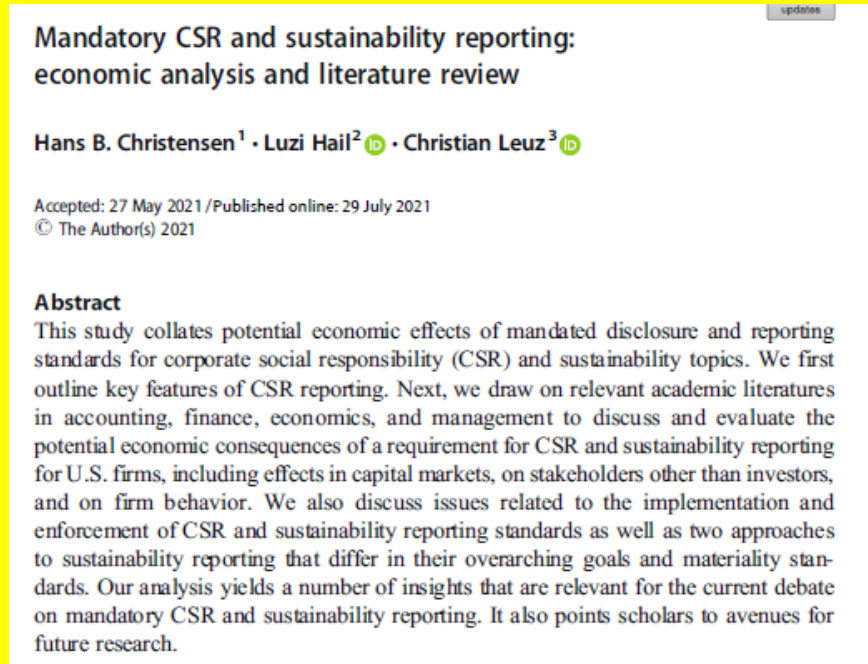
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- When the EU Commission published its impact assessment for the regulated ESG reporting, it estimated that a large company would spend on average **€1.6 million** to implement it.



ESG disclosure debate: Should it be mandated/regulated? - Cons (4/4)



- The paper directly addresses compliance costs, showing that mandatory disclosure imposes both **direct costs** (data collection, reporting systems, assurance fees) and **indirect costs** (proprietary information disclosed to competitors, management distraction, litigation risk)

ESG disclosure debate: Nothing is perfect

- With these pros and cons in mind:
 - As imperfect as ESG-disclosure regulation and reporting standards may be, it could still be worth creating and mandating them.
 - Very importantly, the details of the requirements, their implementation, and their enforcement would matter greatly.
- Who would make and oversee these rules?
 - Are financial market regulators and financial auditors suitable for making and overseeing CSR disclosure rules?
 - It takes collective efforts of financial experts and sustainability experts!
- There's more to study and discuss before (global) standardized reporting regulations can become a reality. **It is important to start this debate and improve ESG disclosure mandate continuously.**

Regulatory trends

- After decades of voluntary ESG disclosure failing to translate to substantive ESG performance, ESG disclosure is experiencing a regulation revolution.
- Regulatory groups around the world are trying to improve the state of sustainability reporting. For example:
 - The European Union
 - International Sustainability Standards Board (ISSB)
 - Etc...
- Ultimately, if informative sustainability reporting is to become widespread, it is necessary to:
 - Mandate such reporting practices with high-quality regulations, and
 - Impose such regulations with proper enforcement.

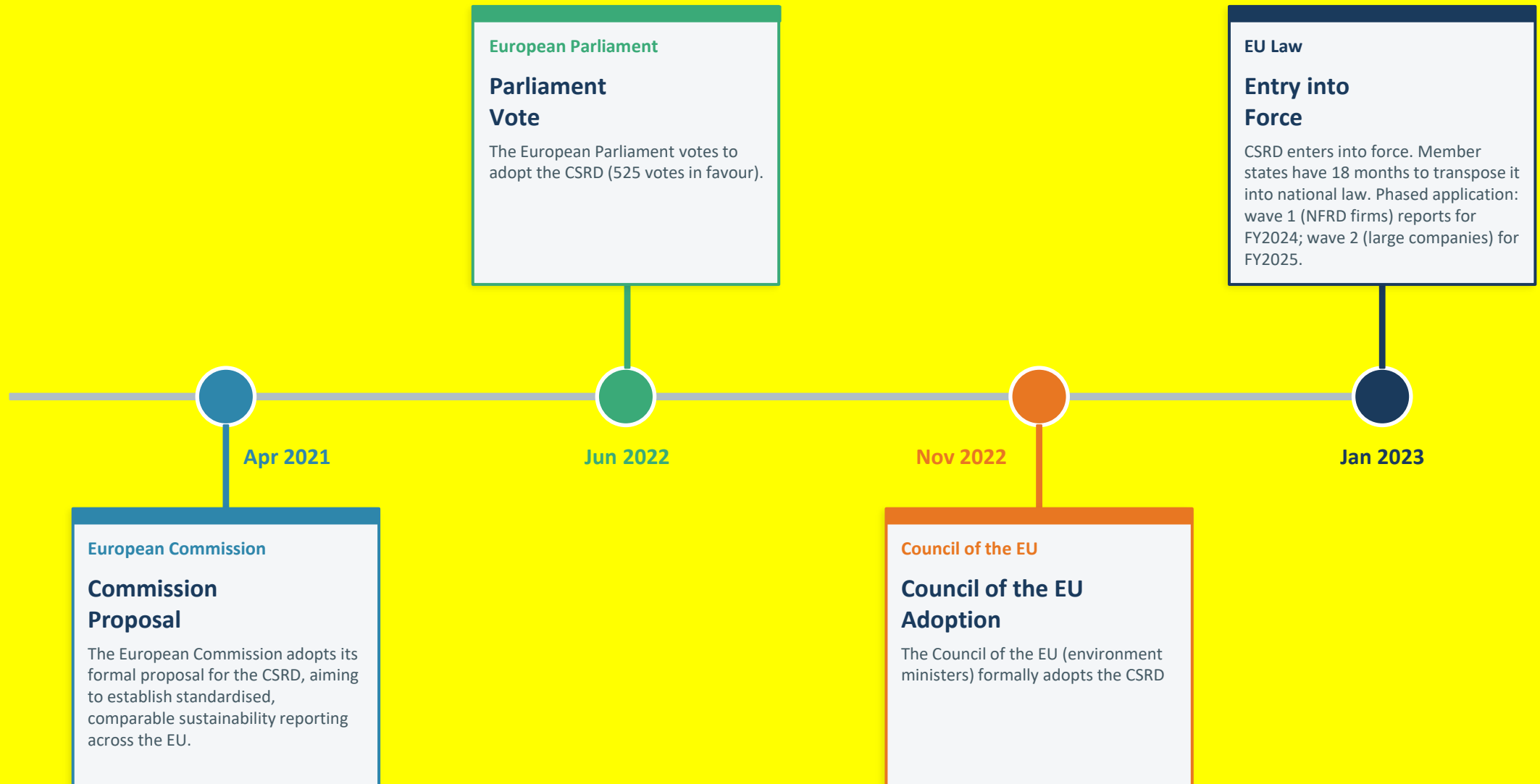
5. Corporate Sustainability Reporting Directive (CSRD) in the EU



Background & History

- In April 2021, the Commission adopted a proposal for a **Corporate Sustainability Reporting Directive (CSRD)**.
- In November 2022, the European Council approved the adoption of the CSRD.
 - This represents a significant shift by the EU towards a sustainable economy with increased corporate accountability and places financial and sustainability reporting on an equal footing.
- In January 2023, the CSRD entered into force.
 - This new directive modernizes and strengthens the rules concerning the ESG information that companies have to report.

Corporate Sustainability Reporting Directive



Background & History (cont.)

- The new rules under CSRD aim to ensure:
 - Investors and other stakeholders have access to the information they need in order to assess the impact of companies on people and the environment.
 - Investors have access to the information they need in order to assess companies' financial risks and opportunities arising from climate change and other sustainability issues.



Corporate Sustainability Reporting Directive (CSRD) – Foundations

- **Double materiality:**

- Identifying all potential negative and positive impacts on people and environment, from the company's own operations and its value chain. Materiality is assessed from a financial and impact perspective.
- The CSRD incorporates the concept of 'double materiality'. This means that **companies have to report not only on how sustainability issues might create financial risks for the company (financial materiality), but also on the company's own impacts on people and the environment (impact materiality).**
- Investors are increasingly interested in both sides of this equation. This is partly as a result of the growing market for sustainable investment products.
- Other stakeholders, including civil society organisations and trade unions, expect a transparent and objective account of a company's impact on issues such as biodiversity, climate change or human rights.

Corporate Sustainability Reporting Directive (CSRD) – Foundations (cont.)

- Boundary:
 - A company's reporting boundary has expanded to include the entire value chain in measuring and reporting social and environmental impact. This covers all suppliers, both upstream and downstream.
- Sustainability strategy and business model:
 - Companies are required to set a strategy to respond to these matters, and disclose the business model's resilience towards sustainability-related risks and climate scenarios.
- Coverage Scope:
 - Large EU companies & Non-EU companies with significant operations within the EU must comply with the CSRD.

Corporate Sustainability Reporting Directive (CSRD) – Reporting Standards: ESRS

- There is ample evidence that the sustainability information that companies currently report is not sufficient.
- That is why, in line with the CSRD, which outlines the obligation for companies to use standards to fulfil their legal sustainability reporting obligations, the European Commission is adopting common standards which will help companies to communicate and manage their sustainability performance more efficiently and therefore to have better access to sustainable finance.
- Companies subject to the CSRD will have to report according to **European Sustainability Reporting Standards (ESRS)**.

European Sustainability Reporting Standards (ESRS): Overview

- ESRS were developed by the EFRAG (European Financial Reporting Advisory Group), an independent body bringing together various different stakeholders.
- The European Sustainability Reporting Standards (ESRS) are a set of mandatory sustainability reporting standards.
 - These standards define how companies must disclose ESG information in a structured, comparable, and standardized manner.
- The ESRS take a “double materiality” perspective:
 - They oblige companies to **report both on their impacts on people and the environment, and on how social and environmental issues create financial risks and opportunities for the company.**



CSRD: Firms Subject to Mandatory ESRS Reporting — Original Scope

As adopted — ~50,000 companies across the EU

Wave 1 FY 2024 (reports in 2025)	Large public-interest entities already under the NFRD > 500 employees + listed on EU regulated market, or bank/insurer	~2,000 companies
Wave 2 FY 2025 (reports in 2026)	All other large EU companies not previously under NFRD Meet 2 of 3: > 250 employees > €40m turnover > €20m total assets	~40,000 companies
Wave 3 FY 2026 (reports in 2027)	Listed SMEs on EU regulated markets Opt-out possible until 2028. Simplified ESRS (LSME standard) applies.	~6,000 companies
Wave 4 FY 2028 (reports in 2029)	Non-EU ('third-country') companies with significant EU presence > €150m net EU turnover + at least one EU subsidiary or branch > €40m	Estimated 1,000s globally

European Sustainability Reporting Standards (ESRS): Expected Outcomes

- Expected Outcomes:
 - Help companies to reduce reporting costs in the medium and long term, by avoiding the use of multiple voluntary standards as this is the case today.
 - Currently, problems in the quality of sustainability reporting create an accountability gap.
 - High quality and reliable public reporting by companies will help create a culture of greater public accountability.
 - Meet information users' demand:
 - Consistency, comparability, reliability.



European Sustainability Reporting Standards (ESRS): Detailed Requirements

- ESRS covers the full range of sustainability issues:

Group	Number	Subject
Cross-cutting	ESRS 1	General Requirements
Cross-cutting	ESRS 2	General Disclosures
Environment	ESRS E1	Climate
Environment	ESRS E2	Pollution
Environment	ESRS E3	Water and marine resources
Environment	ESRS E4	Biodiversity and ecosystems
Environment	ESRS E5	Resource use and circular economy

Group	Number	Subject
Social	ESRS S1	Own workforce
Social	ESRS S2	Workers in the value chain
Social	ESRS S3	Affected communities
Social	ESRS S4	Consumers and end users
Governance	ESRS G1	Business conduct

European Sustainability Reporting Standards (ESRS): Detailed Requirements (cont.)

- ESRS 1 (“General Requirements”) sets **general principles** to be applied when reporting according to ESRS.
- ESRS 2 (“General Disclosures”) specifies **essential information** to be disclosed irrespective of which sustainability matter is being considered.
 - ESRS 2 is mandatory for all companies under the CSRD scope.
- All the other standards and the individual disclosure requirements and datapoints within them are subject to a **materiality assessment**.
 - In other words: Companies will report only relevant/significant (“material”) information and may omit the information in question that is not relevant/significant (“not material”) for its business model and activities.

Corporate Sustainability Reporting Directive (CSRD) – Other requirements

Assurance

- Mandatory requirement for **review of disclosures and assurance by a statutory auditor or independent assurance services provider**. Assurance needs to declare that there has been no material misstatement in company's disclosures.

Digital Tagging

- Requirement to prepare annual financial reports in **XHTML format** and mark sustainability information in financial statements and management reports with a digital 'tag':
 - The information will be structured and machine readable.

ESRS S2 – Workers in the Value Chain (Original 2023 Standard)

What companies must disclose · Before Omnibus simplification · ~70 datapoints

Scope: Workers in the upstream and downstream value chain NOT in the company's own workforce — e.g. supplier factory workers, seasonal agricultural workers, subcontractors on client sites, delivery drivers employed by logistics partners.

S2-1 — Policies

Describe policies for managing material impacts on value chain workers.

Must explicitly state whether policies cover: forced labour, child labour, human trafficking, freedom of association, collective bargaining, and whether they reference UN Guiding Principles on Business & Human Rights and ILO core conventions.

S2-2 — Engagement & Grievance

Disclose how the company engages with value chain workers or their representatives.

Must describe whether grievance channels exist at supplier level, whether workers can raise concerns without retaliation, and how the company ensures access to remedy when harm occurs.

S2-3 — Actions & Resources

Report specific actions taken to address material impacts — e.g. supplier audits, corrective action plans, training programmes, contracts conditioning social standards.

Disclose resources (capex/opex) allocated; report on effectiveness of actions taken.

S2-4 — Targets

Set and disclose targets for managing impacts on value chain workers — e.g. '% of tier-1 suppliers audited by 2026', 'zero tolerance for child labour confirmed by independent verification'.

Progress against targets must be tracked and disclosed annually.

ESRS E2 – Pollution: Disclosure Requirements (Original 2023 Standard)

E2-1 Policies	E2-2 Actions	E2-3 Targets	E2-4 Emissions	E2-5 Substances
E2-1: Policies Describe policies for pollution prevention and control — covering air, water, soil, microplastics and substances of concern. Must reference EU Zero Pollution Action Plan alignment.	E2-2: Actions & Resources Disclose specific actions taken (e.g. phase-out of hazardous substances, BAT compliance, remediation of contaminated sites) and capex/opex allocated to those actions.	E2-3: Targets Set and report quantitative or qualitative targets for reducing pollution — may reference ecological thresholds (e.g. planetary boundaries for ocean acidification, soil depletion).	E2-4: Air / Water / Soil Report pollutant quantities emitted — broken down by air, freshwater, seawater and soil. Includes microplastics generated or used. Quantitative data required by site if material.	E2-5: Substances of Concern Disclose total amounts of Substances of Concern (SoC) and Substances of Very High Concern (SVHC) produced, used or procured — including name, hazard class and CLP Regulation classification.

Corporate Sustainability Reporting Directive (CSRD)

– Implications for Companies

- **Companies will need to assess their reporting strategies in light of the CSRD.**
They need to develop structures and mechanisms to:
 - Collect and monitor relevant, verifiable data and performance measures;
 - Disclose relevant information in a transparent and efficient manner backed by an independent assurance.
- Managers, stakeholders, scholars, and each one of you studying this course should be interested in monitoring the CSRD as it gradually comes into force.



Implications for Companies



Blog / ESG: It's Not Dead. It's More Relevant Than Ever in 2026

ESG: It's Not Dead. It's More Relevant Than Ever in 2026

Scan the headlines in investment, stakeholder, or business media, and you'll soon land on articles heralding the diminishing, the demise, or simply put, the death of environmental, social, and governance (ESG) frameworks and policies. As the world continues down a path of climate catastrophe, severe economic uncertainty, anti-woke sentiment, and contemporary power brokers' blatant disregard [...]

ESG is Dead, Be True and Fair Instead



Colin Mayer

Blavatnik School of Government
and Saïd Business School,
University of Oxford



Università Commerciale
Luigi Bocconi

Implications for Companies

Journal of Financial Economics 111 (2014) 158–180



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Are red or blue companies more likely to go green? Politics and corporate social responsibility[☆]

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ABSTRACT

Using the firm-level corporate social responsibility (CSR) ratings of Kinder, Lydenberg, Domini, we find that firms score higher on CSR when they have Democratic rather than Republican founders, CEOs, and directors, and when they are headquartered in Democratic rather than Republican-leaning states. Democratic-leaning firms spend \$20 million more on CSR than Republican-leaning firms (\$80 million more within the sample of S&P 500 firms), or roughly 10% of net income. We find no evidence that firms recover these expenditures through increased sales. Indeed, increases in firm CSR ratings are associated with negative future stock returns and declines in firm ROA, suggesting that any benefits to stakeholders from social responsibility come at the direct expense of firm value.

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CSRD: Firms Subject to Mandatory ESRS Reporting — After Omnibus (2025)

Scope significantly reduced — estimated ~5,000–10,000 companies

**Scope drastically narrowed**
New thresholds: > 1,000 employees AND > €450m net turnover (raised from 250 employees). Only the largest EU companies remain in scope.

II Stop-the-Clock (Apr 2025)
Wave 2 and Wave 3 firms get a 2-year delay. Directive (EU) 2025/7942 in force April 17, 2025. Wave 1 firms still report.

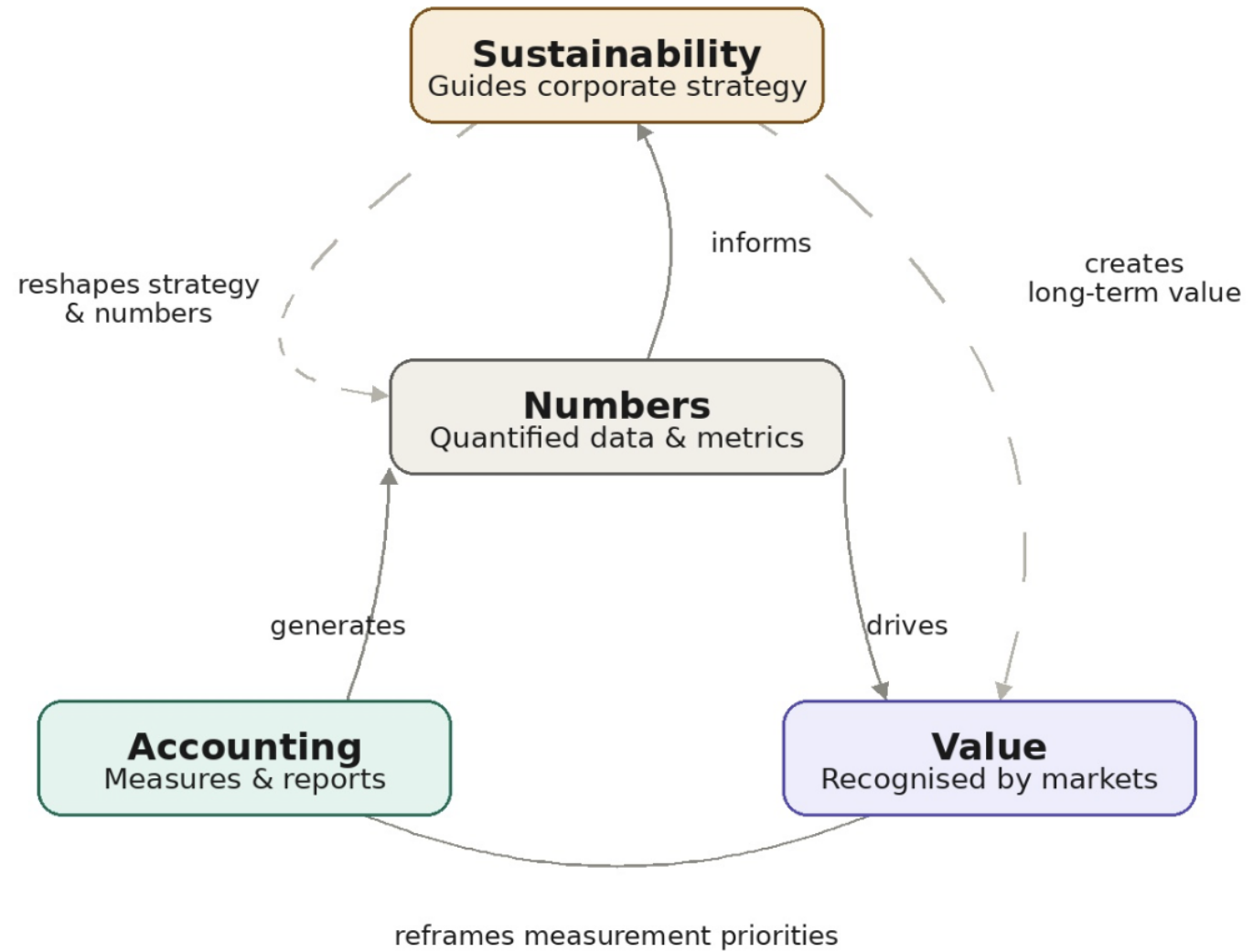
**Simplified ESRS incoming**
EFRAG delivered simplified standards (Dec 2025): 61% fewer mandatory datapoints. Commission Delegated Act expected H1 2026, applying from FY2027.

	Original CSRD	After Omnibus	Change
EU companies in scope	~50,000	~5,000–10,000	▼ ~80% fewer
Employee threshold	> 250 employees	> 1,000 employees	▲ 4× higher
Turnover threshold	> €40m	> €450m	▲ 11× higher
Listed SMEs	In scope (Wave 3)	Mostly out of scope	Removed
Non-EU firms (Wave 4)	FY2028 (> €150m EU turnover)	Delayed; scope under review	Delayed

6. Conclusion



Sustainability, Accounting, and “the Value” of a Company: A Reinforcing Loop



Combining Financial Reporting with Sustainability Reporting

- **Thus, to calculate "the value" of a company for all stakeholders, a full valuation process must consider:**
 - **accounting, financial information, and**
 - **non-financial information and communication with stakeholders.**
- In the future, skills related to financial analysis and corporate valuation will increasingly incorporate knowledge and expertise on sustainability reporting and the utilization of non-financial information.
- Implications for you: Understanding on sustainability reporting will enhance your position as an expert on finance, economics, and accounting.

If you are interested in learning more about corporate sustainability, ESG and the related corporate communication practices, check out this elective course:

30598 - SUSTAINABILITY AND CORPORATE COMMUNICATION

[\(link\)](#)

(Note: This elective course has no maths. It gives you a comprehensive introduction to the diversity of sustainability-related corporate communication issues.)

